

Chapter One 1

MEANING AND THE OVER-VIEW OF BUSINESS

1.1 INTRODUCTION

In order to survive themselves, all human beings can involve into two major activities; economic activities and non-economic activities. The economic activities involve in the production and distribution of material wealth for the purpose of making profit or earning return in terms of money. On the other hand, the non-economic activities are activities that are not involved in the production of material wealth and people do these activities for non-profit purpose. Example, Religious organizations, Research institutes, Charity organizations etc. These organizations engage in non-economic activities where their main priorities or motives are to help others.

All human beings have some basic needs: things that they must consume to survive. In addition to these basic needs, there are many things that people wants to make their lives more comfortable and satisfying. The work that every person performs is there fore, related directly or indirectly to the satisfaction of these needs and wants.

Business is one of the economic activities where people engage in to benefit themselves and others (customers) with the main purpose of generating profit or return. A business function is the process of putting of different resources such as time, effort, skill, knowledge, capital, etc. to produce goods or services. Therefore, a businessperson should know how to create a business that could stay for long with the satisfaction of the need and want of customers.

1.2. DEFINITION OF BUSINESS

Business is an economic activity and a continuous process of identifying and satisfying the demand (willing and able users) need and want of customers by providing goods and services with the main aim of making profit.

So from the above definition we could take out the following basic points: -

- Business is an economic activity
- A Continuous process
- Provide goods and services
- Satisfies needs and wants.
- Its main goal is to make profit.

1.3 CHARACTERISTICS OF BUSINESS

As it was pointed out in the above definition, business has some unique characteristics of its own.

It has five basic characteristics that are going to be discussed.

1.3.1 Providing (dealing) with goods and services

A business has to produce or give service to others by way of adding utility. Utility refers to the characteristics of a good or service in terms of giving value (satisfaction) to customers.

So business not only provides goods and services but it should provide something that satisfies customers. Through the provision of a product or service a business deals in satisfying four types of utilities.

Form utility- Changing of the shape and character of a raw material into a value added product. Example cotton in to cloth, sugarcane in to sugar. Manufacturing companies creates form utility.

Time utility- Making the product produced or the service to reach users at the right time or when it is required by customers. Time utility answers the question of when consumers obtain the product or service. Warehousing companies create time utility

Place utility- Providing of a good or service to the right place where customers found it /putting it where it is needed/. i.e making goods available to the place of the consumers. Transporting company creates place utility.

Possession utility- it is the process of selling goods or services to front line users (customers). It is an exchange process between buyers and sellers and involves in the transfer of title from seller to the buyer.

To support the above, take a look at this example: Eat-Fruit Co. produces different types of vegetables (form utility) and using its own transport it provides the fruit at the right time and place i.e. to fruit eaters in Addis (time and place utility) and using its distribution methods (out lets) it sells its product to customers (possession utility)

1.3.2 Sale, Transfer and Exchange of values

In any business there are two or more persons who exchange goods and services and they are referred to as buyers and sellers. So making of 'Doro Wot' for personal consumption is not a business activity unless sold to another person on a continuous base.

And when transferring and selling, a businessperson should identify the need and want of customers so as to satisfy them.

- . Need is a general desire. Eg. Hunger, thirst etc

- . Want is a specific need. Eg. Want for water or cock or alcoholic drink

1.3.3 Recurrence of Dealings- business is not a one-time activity; it should be a continuous process. For example if I sell my watch to you, it is not a business activity since it has been done only ones. Instead business is a regular and continuous activity whereby business people do it on a repeated way. So selling of a car to a friend is not a business activity.

1.3.4 Profit motive- the main motive or purpose of business is to get profit since it is an economic activity -NGO's (Non-Governmental Organization), religious organizations or a person drawing (pointing) pictures for his/her own satisfactions are involved in a non-economic activities and hence are not regarded as business. But through this profit the activity that the business does should be in harmony (balance) with customers and society i.e the activities should be ethical and socially responsible.

1.3.5 Element of Risk- to set up a business, one should invest either in cash or item. As an investor, people should realize that there is a probability of losing this investment through natural or artificial events.

A business might get bankrupt (loss), products might get damaged, burned etc. So a businessperson should make a calculated risk in at least minimizing the unforeseen events that may occur. For example one could insure (buy an insurance policy) for the fixed assets of the company (business) in order to secure and get the damaged or lost items through the insurance policy.

So as discussed above some of the major characteristics of business are: -

- it deals in the provision of goods and services
- it sales, transfers and exchanges goods and services that satisfy the need and want of customers.
- it is a continuous process (business has a recurrence of dealing)
- the main purpose of business is getting profit by being ethical and socially responsible
- any business has an element of risk.

1.4 CLASSIFICATIONS OF BUSINESS

In the previous discussions, we have seen the definition of business and its unique characteristics. In the following discussion we will see the main classification of business.

Generally business could engage in the making or producing of goods and the distribution (provision) of these goods and services to customers. Individuals or businesspersons who produce or make goods (tangible products) are called producers (Manufacturers). And those businesspersons who distribute the produced materials from the center of production to the center of consumption are called commercial people.

1.4.1 Industry- is a productive firm concerned with a particular business dealing with tangible products or other service giving businesses. Under this context, we can also define industries as part of a business activity, which concerns itself with the raising, producing, processing or fabricating of products.

An industry may produce final products that are ready to be used by ultimate customers (finished goods) such as shoes, automobiles etc. These goods are known as consumer goods. Industrial goods are goods that are going to be used in the production of other goods. For example Sulfuric Acid produced by 'Awash Melkesa' is used to process many industrial goods such as textiles, plastics etc. And if products need further processing by another industry, the type of industries that do this kind of activity are referred as intermediary good receiving industries. For example iron (steel) or aluminum from steel industry could be processed by an airplane industry to which materials are referred as intermediate goods. So to summarize the difference between the three types of industrial goods;

Consumers goods- used by final consumers as they are

Eg. Soaps, bread, cloth, sugar, etc.

Industrial goods-need further production or are used in the production of other goods.

Eg. Chemicals that are used as an input to produce another item such as, the different parts of a car to be assembled together to have the final good (car)

Intermediate goods (semi-finished good) are goods that require further processing or need to be converted to a finished goods.

Eg. Plastics or Aluminum that are further processed to come up with a value added good

Types of Industries

We have defined industry in a broad way above. We will also see the types or classifications of industry based on the type of products (goods) they produce as follows.

Extractive Industry- it is the discovery and utilization of natural resources from the earth, air or water. It is also referred to as a primary activity under Geography study. Farming, mining, fishing etc. are examples of extractive industry.

Genetic industry- this type of industry engages in producing and multiplying of certain animals and plant species for profit. Plant and cattle breeding, fish culturing, or cross breeding of cattle of Ethiopia with European or Western cattle to have better productivity is an example of this industry.

Construction industry- involves in the construction (building) of roads, dams, high ways etc. They are erected, built or fabricated at a fixed site. For example a person building a ten-story building might rent it to some one to get profit out of it. By this sense construction industry is regarded as a business activity.

Manufacturing industry- concerns in the conversion or transformation of raw materials or semi-finished goods into a finished product. Manufacturing industry takes an input, process this input to come up with a value added output. For example raw cotton is taken as an input by a textile industry and processed in the industry through different stages to come up with a shirt skirt etc.

Based on the activities carried out, manufacturing industries divided into the following categories.

A. Analytical industry- to analyze means to break down. This type of manufacturing industry changes one product to different products. That is to say it takes out many products from one starting material. Eg. Oil refinery through fractional distillation breaks down crude oil into petrol, gasoline, kerosine etc. Milk could be processed into butter, cheese etc. These are good examples of analytical industries.

B. Synthetic Industry. This is the reverse of analytical industry i.e. it gets one product from different inputs. Eg. Mugger cement factory uses concrete, gypsum, and other inputs to produce cement.

C. Processing industry- a certain raw material is processed at different stages to have a value added good. Eg. Addis Tayer, Akaki Textile or Wonji sugar factories process Rubber, Cotton and Sugarcane respectively.

D. Assembling industry- the different components of a certain good are assembled (put together) in a physical way. Eg. Car, tractor, Television etc. factories buy their respective parts from different producers and put them together to come up with respective goods. In Ethiopia AMEC and Vestel Television are examples of assembly line industries. To summarize;

Analytical industry => one input into many eg. 'Shola milk pasteurize'

Synthetic industry => Many into one eg. “AwashMelkasa’ or ‘Mugger’ cement factory.

Processing industry => Processing of one major raw material

Eg. ‘Mojo’ Tannery or Akaki textile

Assembling industry => putting of different inputs in a physical way.

Eg. Nazret Tractor or Mesfen Engineering (or assembly)

1.4.2 Commerce

Once an industry produces a tangible products that needs to be delivered to customers. **The core duty of commercial people is to add time and place utility by providing the product produced to where users available at the right time.** Commerce engages in the exchange and distribution of goods and services. Commercial people use a well-organized system of transport, insurance, warehouse etc. to facilitate the free and uninterrupted flow of goods and services from center of production to the center of consumption.

Some of the major problems solved by commercial people are: -

- Finding of customers who have the capacity and willingness to buy the product or services.
- Solving of problems of time, place and form of payment. They do this by providing suitable way of making payment such as using of check, banks or credit system. Using of the appropriate type of transportation. For example a flower to be exported to Europe needs a fast transportation, like airplane since the product can be easily perishable (spoiled). Problems related to packaging and proper delivery of goods could be performed through specialized commercial people. Provision of proper storage, warehouse and after sales service (e.g. Warranty, home delivery etc.)

COMPONENTS OF COMMERCE

As it has already defined commerce is a highly complex process, which involves the operation of many activities that are directly related to buying and selling i.e exchange process. These different activities may be described under two major categories. Under commercial activity, there are groups who try to solve the core problems of commerce called traders and those who solve the peripheral (revolving) problems of commerce are known as Aids to trade.

a. Trade. Traders are those groups that solve the central problem of commerce by finding and selling the product produced to willing and able buyers. **Trade is the process of buying and selling, exchanging or transferring of goods to customers.**

Wholesalers, retailers, agents, importers and exporters are examples of traders and they solve the core problem of commerce by directly interacting with producers and customers.

b. Aids to trade. The word aid means support. And as the word tells us this commercial people try to solve the various revolving problem of commerce. They don't have a direct interaction with producers and customers in terms of providing the product produced but they solve

auxiliary or ancillary problem of commerce such as making payments, deposits etc through banks or protection of assets by insurance companies. In the next part we will try to see some of the elements included under aid to trade activities.

I. Banking- they solve time, place and form of payment when transactions are made.

Banks as an independent unit engage in the following activities.

-**Making of payments**Eg. Mugger cement may write a check to its agent and this agent could receive the money from the Bank of Mugger cement.

-**Currency exchanges**-different countries have their own currencies and banks try to solve this problem by providing exchange rates for different countries and making it easy for inter country business. Eg.Changing of birr with U.S dollar.

-They make deposits; give loan, settlement of debt, selling and buying of currencies etc to solve the peripheral problem of commerce.

II. Transportation- provides place utility by carrying goods from producers to traders and finally to consumers. Transport companies specializing in this area deliver products where traders and users want them to be delivered. Eg. (Ethiopian Air Lines) gives this service to different exporters by transporting animal products, Fruits and vegetables at the right time and place before they are spoiled (lose their original form).

III. Insurance- One of the characteristics of business is risk. And the main duty of insurance companies is to safeguard business assets through insurance policy. Whatever it is, a production company or goods in transit need to have insurance to overcome the events of unforeseen circumstances. Eg. The purchase of insurance policy by 'Kombolcha' textile factory has enabled it to cover the loss that may happen by fire accident.

IV. Packaging- Packing is the process of putting things together in a proper container so that breakage, leakage, shrinkage and spoilage can be avoided or minimized while goods are being transported.

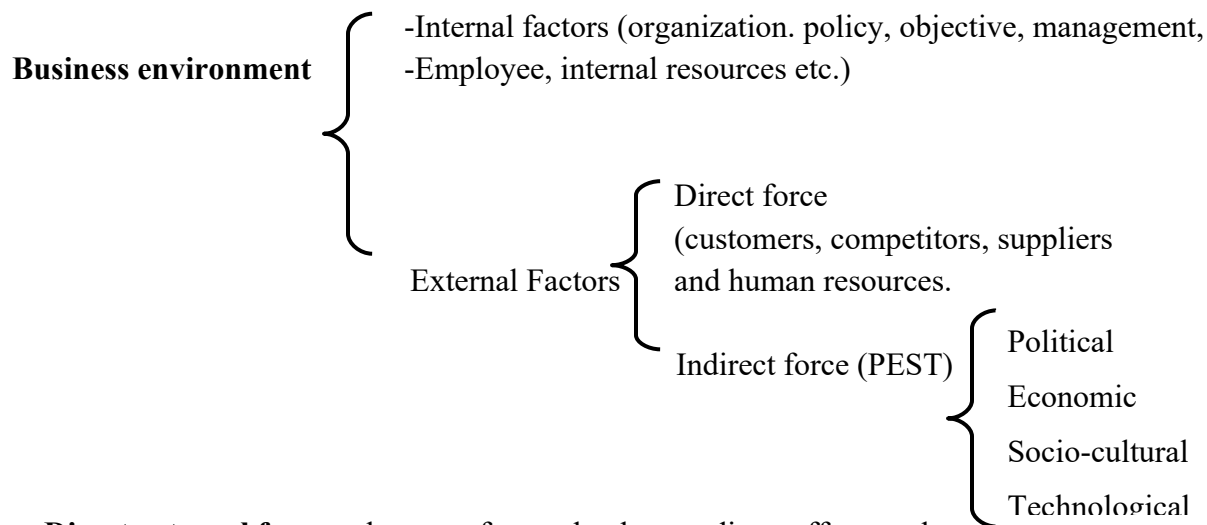
V. Advertisement- brings goods and services to the attention and knowledge of prospective buyers. Through advertisement consumers can get better information about the availability, usefulness, price, quality and other attributes of the products. Advertising agents try to promote local or foreign products so that customers could purchase products

1.5 BUSINESS ENVIRONMENT.

A business does not exist in a vacuum (empty space) it is affected by those forces near and far to it. Any business is affected by internal factors such as strategy, goal of the organization, policy, structure etc. Externally a business is affected by those forces that have a direct impact such as customers, competitors, supplies and human resource; and by indirect forces (PEST => political, Economic, Socio-cultural and Technological factors).

1.5.1 Internal factors: the policies and objectives of a business and the capability of the organization in terms of its financial and any other resources have immediate impact on the performance of a business. If a company fails to use its different resources properly, then it will have a direct implication (effect) on the performance of the business. For example if management and employee do not have a smooth relation it will affect the performance of the business directly.

1.5.2 External factors- these are forces that could act on two levels. There are external factors with direct force on a business operation and factors with an indirect force on a business performance. The next diagram briefly summarizes the factors that have impact on the performance of business.



a. Direct external forces- these are forces that have a direct effect on the performance of a business but beyond the boundaries of the business (the company).

i. *Customers-* “Customer is a king”, as marketers put it. Customers are the front line users of a certain business’s goods or services. They are the one who make a decision whether to buy or use a product/service. So they have a direct effect on the performance of a business and the company should have a good relation, with the understanding of the need and want of customers.

ii. *Competitors-* these are individuals or groups that produce the same or similar type of products. A business should know the moves and counter moves of competitors (how they are reacting) in order to satisfy customers in a better way than competitors. Market intelligence is a key to determine the movement of competitors. Competition is not a one-way force (concept). A business may compete against the other firm with regard to customers, employees, raw materials and other resources. Those competitors who produce the same or similar type of products or services are known as intratype competitors. Eg. Bedele Beer, Dashen Beer, Harar Beer and Meta Beer factories compete for the same resource such as barley and for similar customers. Those competitors that are distinctly different but competing for the same resources are known as intertype competitors. Example, the Commercial Bank of Ethiopia and Telecommunication Corporation are competing for the same resources such as human resource.

iii. *Suppliers-* these are groups or individuals that provide different resources to a company. So a business should be sure to choose a client (supplier), which is reliable and consistent in terms of providing resources on time at a reasonable price. For example the

supply of cement is a critical (important) input for a certain person engaging in construction activity.

iv. *Human resource*- there is skilled and unskilled human resources to an organization. Human resource is the most important part for the performance of a business and the business should make sure that it has good supply of human resource. To do so an organization must attract and keep good human resource input. Eg.By providing attractive salary, benefit, security etc.

b.Indirect external forces- these are forces that have a less degree of control than internal and external direct forces. But a business at least should know what these indirect forces and make the necessary adjustment using the controllable tools

Some of the indirect forces that have impact on a business are discussed as follows.

i. *Political factors*- A business should know the political situation of a country before making investment or while in operation. Understanding and knowing of the rule, regulations, laws, policies etc of a country is an important factor for the performance of a business. The stability and predictability of a state is another issue that needs to be understood by a business. For example, under Ethiopian law, foreign investors are not allowed to engage in financial business such as banks and insurances. So it is an opportunity for local investors and a threat (negative thing) for investors from abroad.

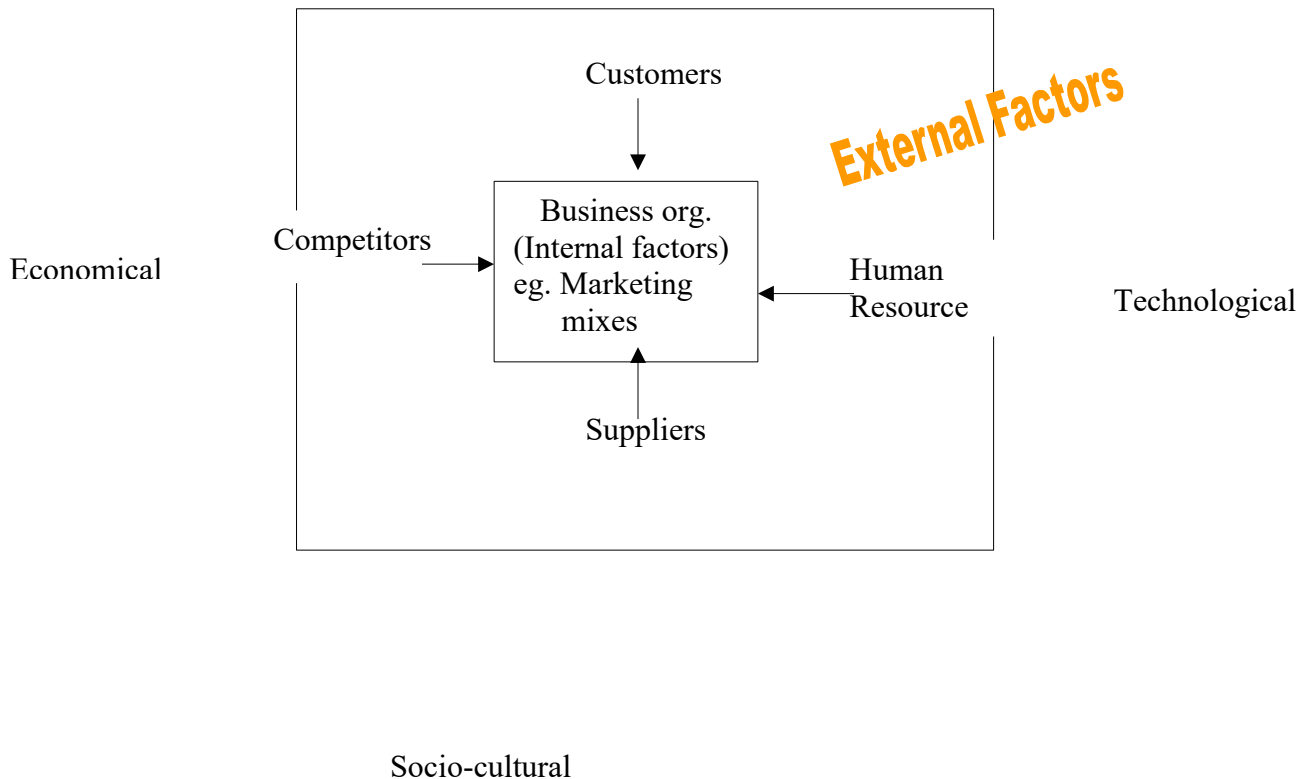
ii. *Economic factors*- Different macro-economic indicators such as GDP (Gross Domestic Product), PCI (Per-Capita Income), inflation, monetary value, employment rate etc. give us different information as to the constraints and opportunities of a country. For example the per-Capital income of Ethiopia is \$100 while the PCI of Switzerland is between \$ 30,000 and \$35,000. This by itself gives information to a businessperson as to what type of product/service to produce to individuals of Ethiopia or Switzerland. Therefore business organizations should monitor changes in different macro-economic indicators to minimize possible external threats and capitalize on opportunities.

iii. *Cultural and social environment*- culture is like a distinct identity of one nation from the other. It indicate life style, value system, region, language etc. of one group of people. For example pork meat (pig meet) is totally forbidden (not allowed to be eaten) by Orthodox and Hindu religion followers do not eat Muslim countries or any animal product. So a businessperson should identify what things are allowed in one country and what is not allowed before making any decision as to what and how to market a product or service.

iv. *Technological factors*- different countries have different level of technological development and adaptation. any business must keep abreast of the latest developments in technology and incorporate them as the situation demands so as to stay competitive in this volatile environment.

So to summarize, a business can have different internal and external strengths, weaknesses, opportunities and threats and the business should keep a good sense of the changing environment and adopt itself to this changing environment accordingly.

Political



1.8 QUALITIES OF A GOOD BUSINESSPERSON

The qualities that a businessperson need to have as an individual in running a successful business are discussed hereunder.

*** Ability to analyze situations accurately**

This is the ability of a businessperson to use his/her intelligence to analyze situations. It also includes the ability of collecting relevant and accurate information and to use them to forecast what would happen. He/she should be able to analyze the test and feeling of customers, their behavior to a given set of price, the impact of changes in the size of the firm are the qualities expected from him/her in terms of analyzing situations.

*** Initiative and capacity to take prompt (quick) decisions.**

“A poor decision made on time is better than a good decision made out of time.” As the saying puts, it one of the qualities needed from a businessperson is the ability to make quick decision on time and to be smarter than competitors.

*** Determination courage and perseverance**

These are qualities of will, power and determination to succeed. A businessperson should keep in mind that there is always risk in a business and he/she should think of a way to come from a situation than trembling (panic) out of it.

*** Intelligence and alertness**

A businessperson should be intelligent enough to make use of business opportunities when and how they come. He/she also should be alert enough for new developments, opportunities and threats.

*** Quality of leadership and motivation**

Communicating with employee of the business, creating a good relation between management and personnel is a key quality that a businessperson needs to have. Motivating of workers through an appropriate reward is the quality expected from a businessperson.

*** Business morality and integrity**

Honesty, fair dealing, good trust towards customers and moral are also the other quality of a businessperson.

A businessperson not only should give priority to the money (profit) he/she is getting but to honesty and integrity.

*** Training and Education-**

On the job training and education are important ways of developing the ability of a businessperson. For example it is through training that a businessperson can acquaint him/her self with computer and new technology.

*** Sound practical experience-**

Experience is the best teacher. A businessperson should put his/her experience of the past and present in order to improve the future in a better way.